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Hello, Pro Briefers!

This week we've identified a Government Shift: DOGE spending cuts, deregulation, and efficiency measures *could* lead to increased profits in software, real estate, and foreign infrastructure.

Let's break down how investors may be able to fetch this opportunity.

DOGE is now a part of the White House - and no, not this 🐶.

The Department of Government Efficiency, or DOGE, was created as a temporary agency under President Trump on January 20th, 2025 through an executive order.

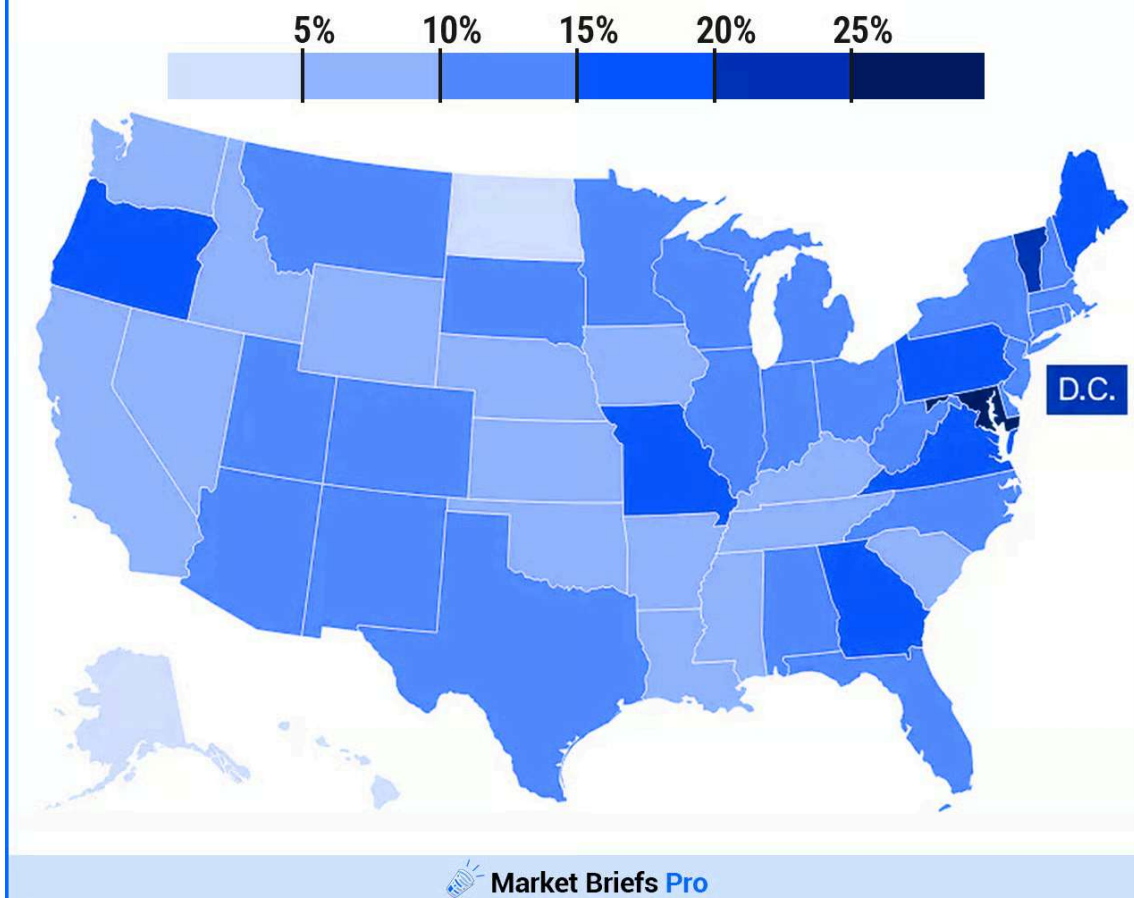
- DOGE is led by Elon Musk, the CEO of Tesla (TSLA) and SpaceX.

As of February 2025, the department has:

- Mandated all federal employees return to the office full-time - which is over 1 million workers.
- Eliminated USAID, paused operations at the CFPB, and laid off 15,000 IRS workers.

Federal Employees Working From Home, 2023

U.S. 12.7%



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Data via U.S. Census

The goal? Reduce federal spending by \$500 billion and increase efficiency among all government agencies.

That could include spending cuts to foreign aid, as well as upgrades to all government “legacy” tech, which routinely costs the government \$337 million annually to operate and maintain.

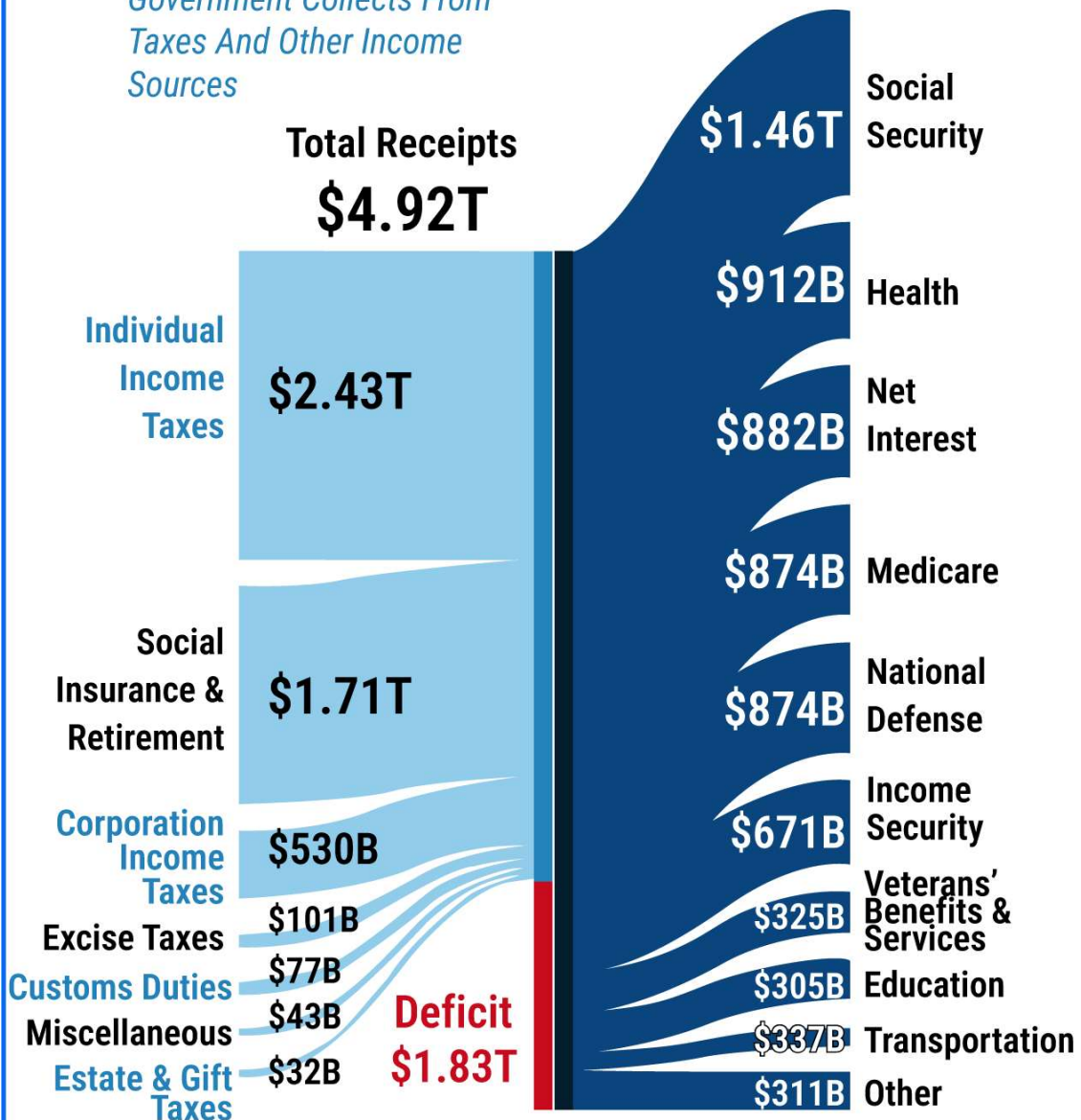
U.S. Government Incomes & Expenditures FY2024

The U.S. Government Budget Summarizes The Federal Government's Final Revenue (Receipts) From Taxes And Other Sources, And Expenditures (Outlays) On Public Services And Other Expenses.

Total Outlays \$6.75T

Outlays: Total Amount The Government Spends On Public Services, Programs, And Other Expenses

Receipts: *Total Revenue The Government Collects From Taxes And Other Income Sources*



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Data [via](#) U.S. Treasury

Keep in mind: We don't know if DOGE will achieve its stated goals.

Government initiatives similar to DOGE have had mixed results in the past - that's according to Dr. John Moore, professor of finance and economics at Walsh College.

We sat down with Dr. Moore for an exclusive interview on DOGE to discuss how government efficiency measures have looked like in the past and how DOGE may accomplish its goals.

"To cut that much in the budget today - can it be accomplished? I'm going to give you a soft answer of yes." - Dr. Moore

However, this shift in government spending creates opportunities for investors to pay attention to, particularly those in software, real estate, and foreign infrastructure.

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BRIEF BREAKDOWN

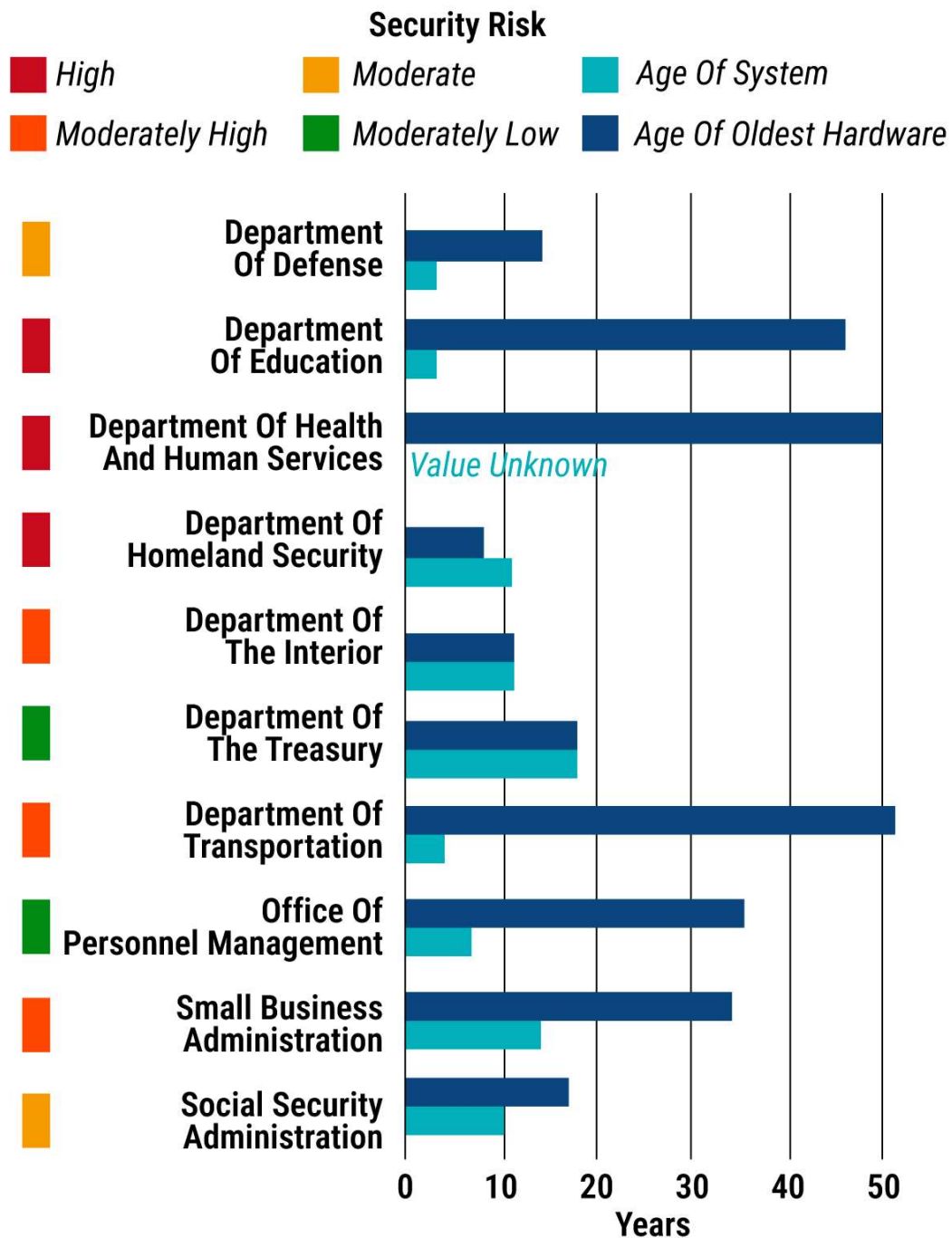
The Legacy of Government Software

According to reports from the Government Accountability Office, around 80% of the federal government's tech is considered "legacy."

What does that mean? This tech is outdated and requires significant maintenance to keep it up and running.

As a result, these systems slow down operations, require more cybersecurity, and are unable to keep up with growing data demands.

Aging U.S. Government Systems And Security Risks



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Data via U.S. Government Accountability Office

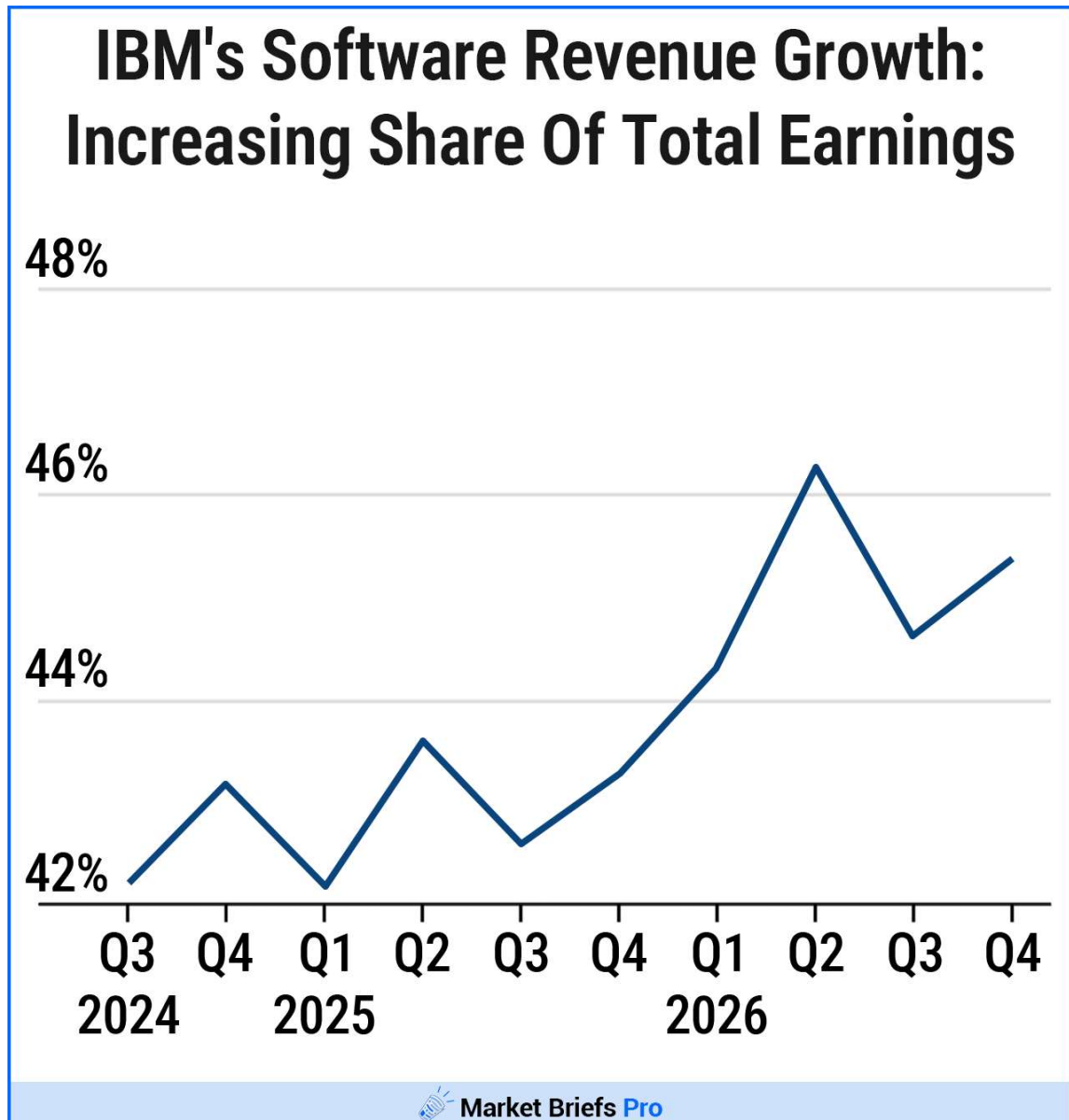
In English? These legacy systems cost the government money.

However, long term savings could lie in upgrading government technology systems, which is part of what DOGE has set out to do.

Upgrading these systems comes in two parts: Software changes and cybersecurity changes.

On the software side, IBM (IBM) is one of the biggest tech contractors with the federal government.

In 2024, IBM was awarded \$63 million to provide IT support to government legacy systems.



Data via Bloomberg

IBM also created TRIRIGA, which is basically a software tool for the federal government to maintain Treasury operations in the cloud.

- Its TRIRIGA contract was valued at \$10 million.

But its biggest contract last year came from upgrading the nation's Social Security software.

IBM created new software tools for the federal government to process Social Security benefits, manage claims, and maintain accurate records efficiently.

This contract is worth around \$450 million - bringing IBM's total federal revenue in 2024 to just under \$1 billion.

What's the big deal? The federal government is becoming a big growth driver for IBM's revenue and could grow even more if DOGE makes large upgrades to legacy software assuming they continue with IBM's contracts.



Data [via](#) Yahoo! Finance

Helping the government process and manage its data is one thing - but what protects our national security? *Cybersecurity.*

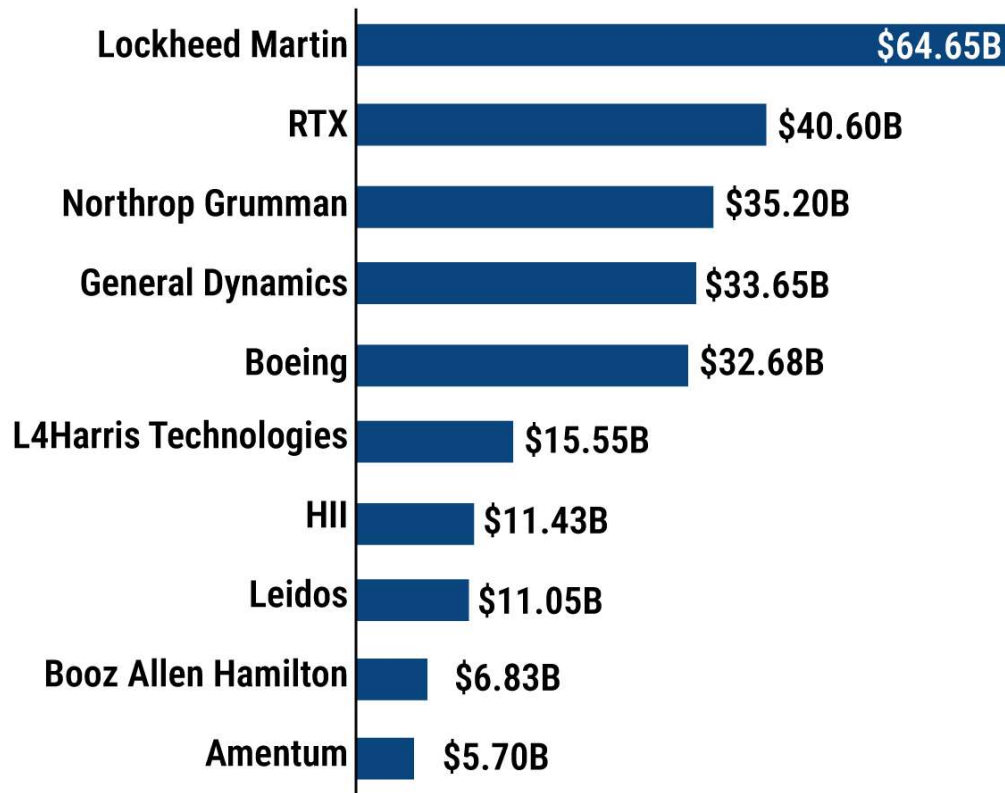
Booz Allen Hamilton (BAH) is a cybersecurity and data management company that earns the majority of its revenue from government contracts.

How much? Since 2019, over 96% of its business has been generated from its government contracts.

It managed to increase its revenue overall by 15% year over year from 2023-2024 by offering specialized services to several government agencies.

Top 10 U.S. Defense Contractors

2024 Defense Revenue, In \$Billions U.S. Dollars



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Data [via](#) Bloomberg

For instance, the company is working with the IRS, the Department of Defense, and NASA to protect/prepare its systems from cyber attackers.

- It not only puts software in place, but coaches staff on what to do during a cyber attack.

Booz also has proprietary software that can diagnose cyber vulnerabilities within federal systems.

It basically plays the role of the hacker - it operates “fake hacking” events against government systems, then creates plans on how to mitigate these advanced attacks.

Fluor Corporation (FLR)

5 Year Price →

39.08
(+165.26%)



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Data [via](#) Yahoo! Finance

In 2023, cyber attacks cost the federal government over \$10 billion, so buffing up its cybersecurity with Booz Allen Hamilton could save it even more money.

While there isn't a direct ETF that can give investors broad exposure to this shift, investors can consider the Emls Federal Contractors ETF (FEDX).

This ETF allows investors to buy shares in companies that are on contract with the federal government, which could see its value rise alongside software upgrade demands from DOGE.

Emles Federal Contractors ETF(FEDX)

2 Year Price →

24.58
(-0.93%)



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Data [via](#) Yahoo! Finance

Return To Office & Real Estate

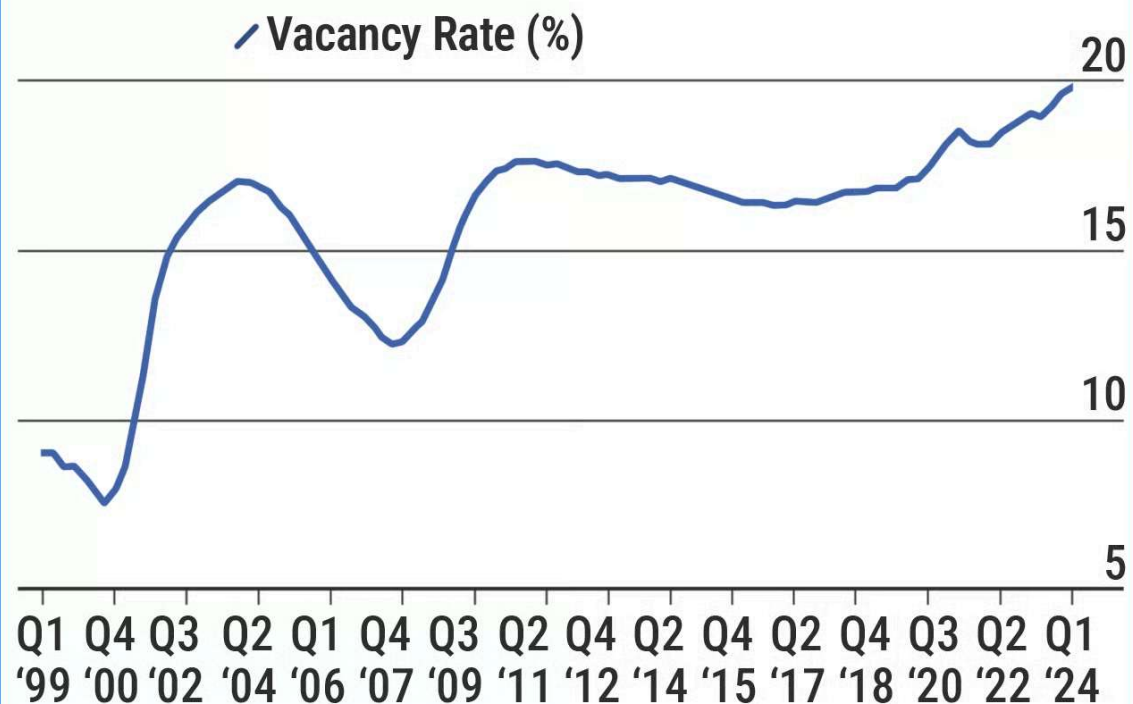
With over 1 million federal employees now mandated to return to the office full time, this will mean more offices will need to be renovated and furnished.

Flashback. Office vacancies have been rising since the 2020 pandemic due to economic lockdowns.

- In November 2024, Moody's estimated that the office vacancy rate in the U.S. was around 20%, a 30-year high.

U.S. Office Vacancy Rates Reach Record High In 2024

Early Data From 2024's First Quarter Will Once Again Set A Record



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Data [via](#) Moody's

As a result, there is roughly 900 million square feet of office space currently available to rent across the country.

According to the General Services Administration, the government already owns 363 million square feet of that.

But this action by DOGE could create a culture shift that influences private businesses to return to the office as well.

Fact. Another 22 million workers outside federal employees were working from home full-time, as of August 2024.

The government often influences private businesses - in 2010, the Affordable Care Act mandated businesses with over 50 employees provide health insurance.

- As of 2023, roughly 50% of small businesses with under 50 employees provide health insurance, even though they're not legally required to.

In this case, more private businesses may opt to send their workers back to the office, despite not being mandated to.

Dr. Moore gave his perspective on this as well:

"What I anticipate is that the long-term solution in the private sector is going to be a hybrid model and you're going to see people probably not work five days a week in the office, but you're going to see them work three days, maybe four."

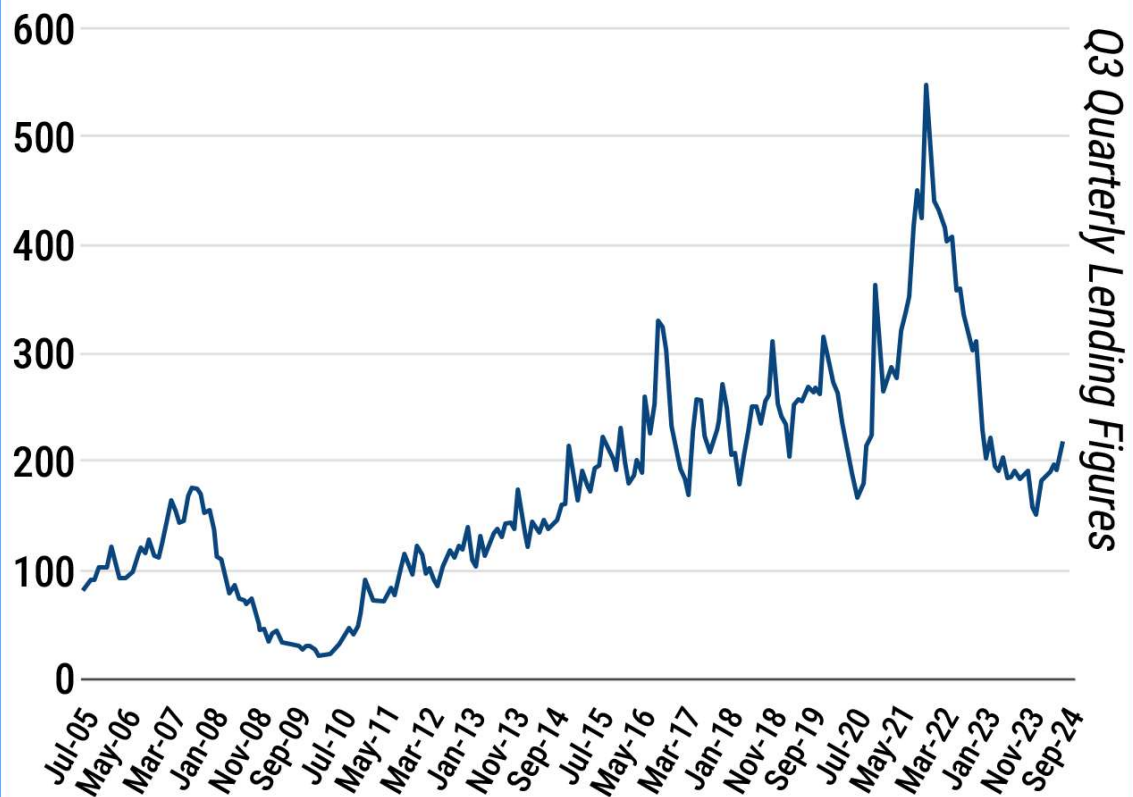
JPMorgan (JPM) told its 300,000+ workers to return to the office full-time in mid-January.

This means commercial real estate firms like CBRE Group (CBRE) may see an increase in revenue opportunities as more businesses seek out office leases.

CBRE Group is the world's largest commercial real estate services and investment firm based on revenue - operating in over 100 countries.

CBRE Lending Momentum: Trends In Large-Scale Deals

Seasonally Adjusted, 2005 Average = 100



 Market Briefs Pro

Data via CBRE

By the end of last year, the group had \$148 billion in assets under management, with 50% of that in office real estate.

Specifically, CBRE Group owns office real estate in metro areas where roughly 10% of the entire workforce is federal workers.

- These areas include the Phoenix metro, Raleigh-Durham metro, Washington D.C., and Atlanta.

Outside of areas where federal workers dominate, CBRE owns real estate in some of the largest metros throughout the U.S., including Los Angeles, Detroit, and Dallas-Fort Worth.

In short - CBRE Group is well positioned to benefit if more businesses return to office.

CBRE Group, Inc. (CBRE)

5 Year Price →

144.58
(+126.33%)



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Data [via](#) Yahoo! Finance

- CBRE increased its revenue by 10% in 2024 to reach \$34 billion.

Steelcase (SCS) has already benefited from more people returning to the office post-pandemic.

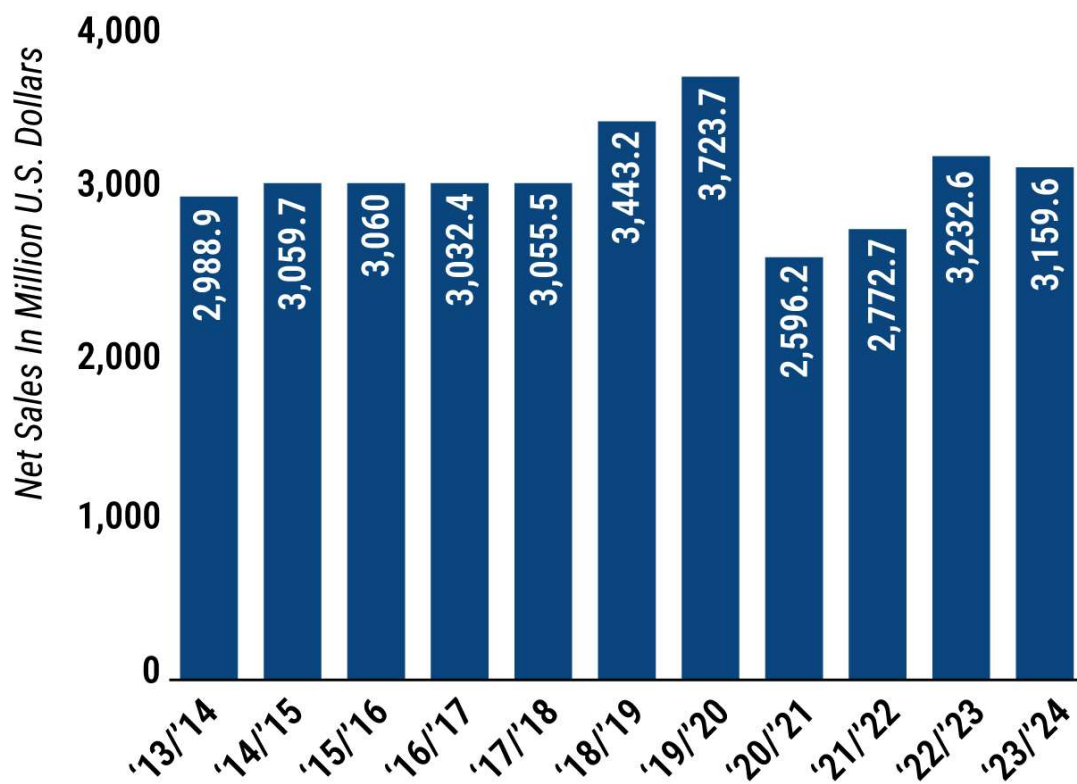
The company is one of the largest office furniture brands in the world by revenue, as it earned \$3.2 billion in furniture sales last year.

- That's an increase from \$3.1 billion in 2023.

Last year, its best-selling items were office chairs, specifically the Amia, Gesture, and Leap V2.

Revenue Of Steelcase Worldwide From 2013/2014 To 2023/2024

(In \$Million U.S. Dollars)



 Market Briefs Pro

Data via Statista

And as of 2023, roughly 16% of the entire office market was represented by government offices, meaning Steelcase could directly benefit from this shift.

But why Steelcase over other office furniture companies? Steelcase is the preferred vendor for corporations and government offices worldwide.

- Other office companies like Miller-Knoll (MLKN) and Wayfair (W) focus on home office furniture.

Steelcase Inc. (SCS)

11.58
(-40.06%)

5 Year Price →



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Data [via](#) Yahoo! Finance

Revenue from Steelcase makes up almost 9% of the entire office furniture market, which will rise as more corporations and government workers return to the office full-time.

DEEP BRIEF

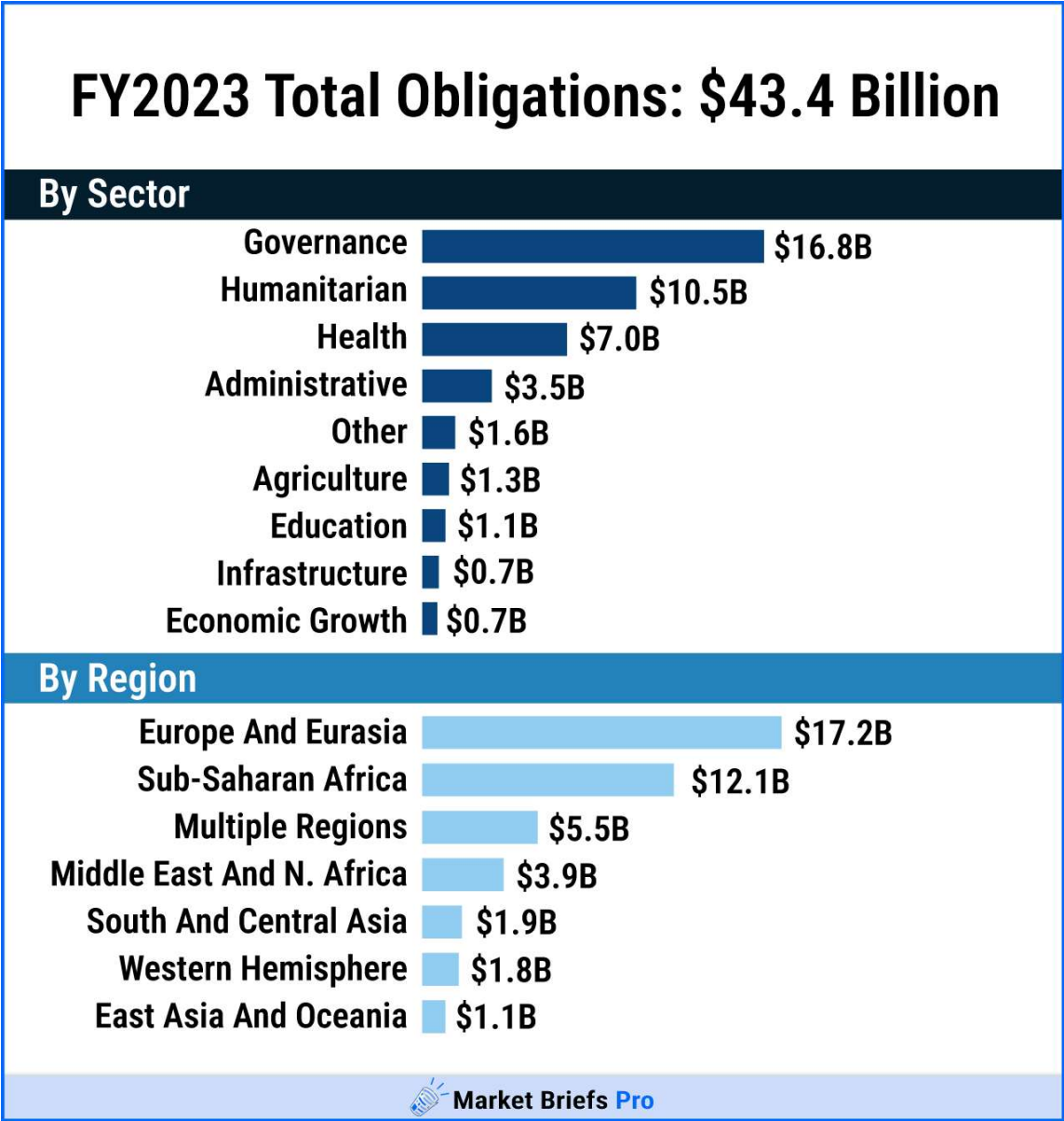
Global Infrastructure Shifts

The United States Agency for International Development, or USAID, established in 1961 under President Kennedy, was shut down by DOGE in early February 2025.

USAID's goal was to provide international foreign aid and healthcare and had a budget of \$50 billion.

In 2024, 36% of USAID’s budget was allocated towards the rebuilding of Ukraine, as it's still in conflict with Russia.

Another 10% was focused on countries like Jordan, Ethiopia, and Afghanistan, with the rest going towards other global initiatives.



Data [via](#) Congress

With its closure, foreign governments may need to rely more on the private sector in order to sustain current or future infrastructure projects and health initiatives.

Dr. Moore reaffirmed this when we spoke to him:

"Entrepreneurs are always looking for an opportunity to make a profit to meet consumer needs. And so if there's less crowding out by the government, at some point in time the private sector steps in to fill that gap."

One of those businesses that could increase in foreign business is Fluor Corporation (FLR).

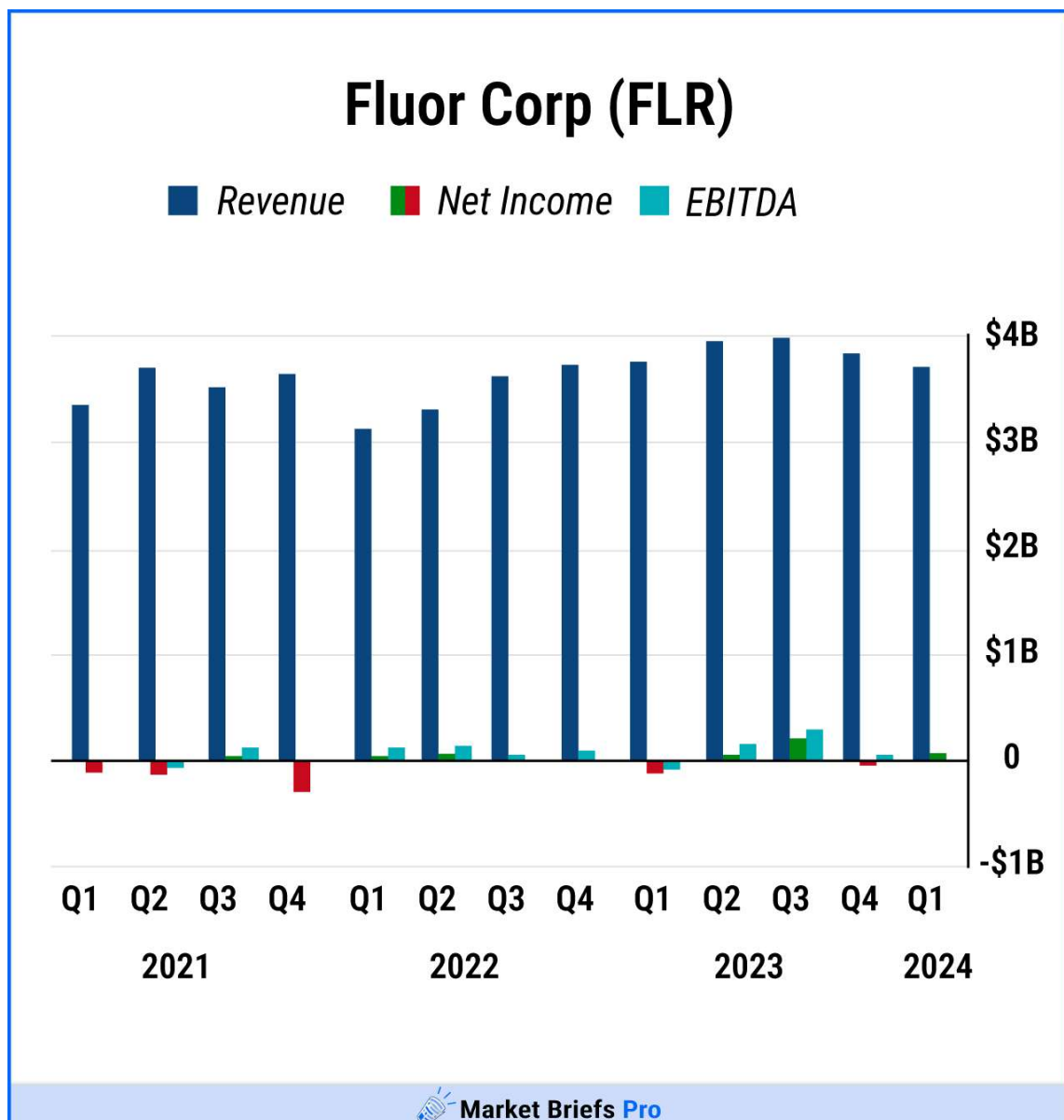
- Fluor is an engineering and construction firm that focuses on infrastructure projects around the world.

Fluor is based in Texas, but has been growing its global presence in recent years and now 32% of its revenue comes from international infrastructure projects.

While Fluor isn't active in the specific countries USAID was sending funding to, it does have a significant presence in Europe, Australia, and North America, and operates in over 60 countries.

It's also actively seeking contracts where USAID funding is being cut, like Ukraine.

Fluor specializes in building energy infrastructure, particularly in nuclear, oil, and gas.



But nuclear energy is its bread and butter, though - and Europe has proved to be a better landscape for that type of infrastructure.

- Ukraine in particular has 15 nuclear reactors, a country Fluor is looking to begin operations in.

Fluor even spun off its small modular reactor unit into its own business in 2022, becoming NuScale Power (SMR) in a \$1.9 billion SPAC merger with Spring Valley Acquisition Corp.

Last year, Europe generated enough nuclear power to support 25% of the continent, largely with the help of USAID. But with USAID now inactive, Fluor could fill in that gap.

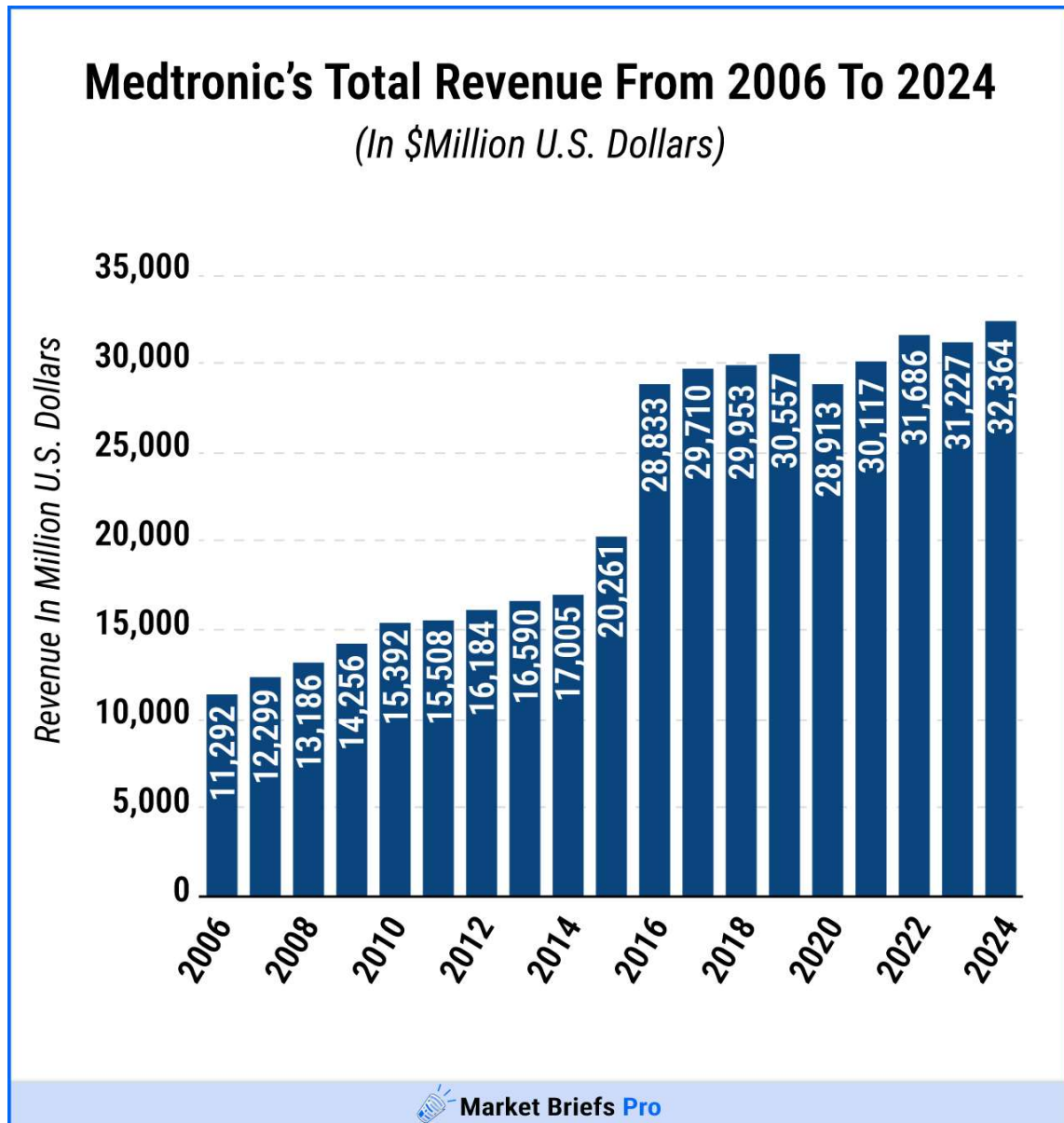
Fluor brought in \$15.5 billion in revenue in 2023, with \$5 billion of that from outside the U.S.



On the health side, Medtronic (MDT) may benefit from USAID cutting its funding, due to its large international presence.

Medtronic is based in Ireland, but is one of the largest medical device and medicine distributors in the world.

- It already has extensive operations in most of the areas where USAID was sending funding, like Europe and Africa, and is actively expanding its market share in those regions.



Data via Statista

Plus, the company regularly invests back into itself through research and development, spending over \$2 billion last year on R&D alone.

This has allowed it to remain highly competitive in areas where healthcare is seeing the most growth, like diabetes, cardiovascular medicine, and surgical tech.

- 60% of its revenue comes from reoccurring purchases, not one-time sales.

Last year, the company earned \$33 billion in revenue, a 3.25% annual increase.



Data [via](#) Yahoo! Finance

The bottom line: A growing global presence, a focus on the leading areas in healthcare, and dozens of major repeat customers has placed Medtronic at the forefront to benefit from this government shift in spending.

Investors looking for broad exposure to this shift can also find opportunities in the iShares Global Infrastructure ETF (IGF).

iShares Global Infrastructure ETF (IGF)

5 Year Price →

53.37
(+8.94%)



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Data [via](#) Yahoo! Finance

Possible Risks

DOGE could create some opportunities, but here are a few things investors should keep an eye on:

First, an agency like DOGE can't unilaterally shift spending away from government programs or close a department like the Department of Education.

- Those actions must come from Congress, which is currently split on these decisions.

Second, many businesses rely on government funding that DOGE could end up cutting, creating distressed assets.

FY 2001 And FY 2023 Fiscal Metrics (Percent Of GDP)			
	2001	2023	Change % Of GDP
Spending	17.7%	22.7%	+5.0%
<i>Health Care</i>	3.3%	5.8%	+2.5%
<i>Social Security</i>	4.1%	5.0%	+0.9%
<i>Other Mandatory*</i>	2.2%	3.0%	+0.8%
<i>Nondefense Discretionary</i>	3.3%	3.5%	+0.2%
<i>Defense Discretionary</i>	2.9%	3.0%	+0.1%
<i>Net Interest</i>	2.0%	2.4%	+0.5%
Revenue	18.9%	16.5%	-2.5%
<i>Individual Income Taxes</i>	9.4%	8.1%	-1.4%
<i>Payroll Taxes</i>	6.6%	6.0%	-0.6%
<i>Other Taxes</i>	2.9%	2.4%	-0.5%
Surplus/Deficit (-)	1.2%	-6.3%	-7.5%
Debt	32%	98%	+66%
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Data [via](#) Congressional Budget Office

For example: In 2016, shares of Lockheed Martin (LMT), a major federal defense contractor, fell over 4% after President Trump called its contract with them “too expensive.”

Finally, while DOGE has achieved some of its goals, there's no guarantee it will achieve all of them.

"Can Doge solve the growth of the national debt? The answer is no in that case. But the bigger question of DOGE is reducing spending on the interest paid on our national debt, which is about 10-20% of our total federal budget." - Dr. Moore.

DOGE originally planned on cutting \$2 trillion from the federal budget in January 2025.

Who Let The DOGE Out?

DOGE doesn't just want to cut - it also wants to upgrade government tech to ensure efficiency.

That could lead to opportunities for companies in software, real estate, and foreign infrastructure as they fill in that demand.

Government spending cuts have been made in the past, but lowering them by nearly \$1 trillion during one administration would be the most in history.

Will these cuts stand the test of time? Dr. Moore believes the dogs are still out:

"The problem with executive orders is that they can be done at the stroke of a pen and they can be undone at the stroke of a pen. And I think that the great barrier is our very distinct divide in political views between our two major political parties."

Still, DOGE wants to shift government spending, which creates many opportunities and risks that investors should keep an eye on for the next four years.



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